EXECUTIVE SUMMARY

1. Introduction

The Local Government Unit of Lal-lo is a 1st class municipality with a population of 49,928 based on a survey conducted by the Barangay Population Officers as of December 31, 2015. It has 35 barangays spread over 70,280 hectares. It is the fourth largest municipality in the Province of Cagayan in terms of land area.

A financial and compliance audit was conducted on the accounts and operations of the Municipality of Lal-lo for the period ended December 31, 2013. The audit was aimed at ascertaining the propriety of disbursement, the adequacy of accounting books and records and the reliability of financial reports. Likewise, the audit was conducted to identify the practices that require compliance with laws, rules and regulations for the purpose of recommending measures to correct them.

2. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2015, were P320,195.115.29, P196,301,751.11, and P123,893,364.18, with an increase of 39.28%, 57.95%and 17.31%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P149, 256835.22 and P130, 938,563.11 which increased by 9.12 % and 21.36%, respectively from last year's figures.

			Increase(Decrease)	
	2015	**2014**	**Amount**	**Percentage**
Assets	320,195,115.29	229,890,439.66	90,304,675.63	39.28%
Liabilities	196,301,751.11	124,278,933.55	72,022,817.56	57.95%
Govt. Equity	123,893,364.18	105,611,506.11	18,281,858.07	17.31%
Income	166,987,642.92	149,256,835.22	17,730,807.70	11.88%
Expense	135,709,527.84	123,201,034.66	12,508,493.18	10.15%
Appropriations	189,318,379.79	149,107,891.41	40,210,488.38	26.97%
Obligations	146,717,243.87	130,626,905.81	16,090,338.06	12.32%

3. Independent Auditor's Report on the Financial Statements

We rendered a qualified opinion on the financial statements due to the Disbursements of the 20% Development Fund that were not related to and/or connected with the implementation of development projects and cash advances that remained unliquidated as at year-end, hence accuracy of financial records could not be determined, thus affecting the fair presentation of the accounts in the financial statements

4. Significant Findings and Recommendations

1. Cash advances amounting to P166,071.88 remained unliquidated as at year-end due to the granting of additional cash advance to LGU officials and personnel with unliquidated cash advances in violation of COA Circular Nos. 97 – 002 and 2012 – 004 hence, a patent disregard of existing laws and regulations.

   We recommended that Management:

   1. Stop the granting of cash advances to Officials and employees of the LGU with unliquidated cash advance.

   2. Ensure that all cash advances are fully liquidated at the end of the year.

   3. Follow strictly with the existing regulations on the granting of cash advances.

   4. Instruct the Accountant to comply strictly with the rules and regulations on cash advance.

2. Procurement of meals and snacks for the LGU Day Celebration amounting to P263, 625.00 was split into smaller amounts to avoid public bidding in violation of Section 54.1 of the IRR of RA 9184. Such practice deprived the government in obtaining the most advantageous price for the government.

   We recommended that the Municipality avail of public bidding as a primary mode of procurement to obtain the most advantageous price for the government. Alternative mode of procurement can be availed of only in exceptional cases and such exceptions must be resorted to in a lawful manner.

3. The municipality failed to submit its Agency Action Plan and Status of Implementation (AAPSI) as required in Section 88 of RA 10633, hence precluded the auditor in the timely review, monitoring and evaluation of management's action on previous year's audit findings and recommendations.

   We recommended management to prepare and submit its Agency Action Plan and Status of Implementation (AAPSI) within the period prescribed by the law.

4. The Municipality failed to establish a public library contrary to Sections 2 and 7 of the Implementing Rules and Guidelines of Republic Act No. 7743, hence, constituents were deprived of alternative easy and free access to books, magazines, periodicals,

newspapers and other necessary library materials and equipment as a source of knowledge and information.

We recommended that the concerned officials allocate a budget for the establishment of the municipal library to address the related vital needs of the community.

5. The Municipality granted Cash Gift to the Municipal Local Government Operations Officer (MLGOO) in the amount of P20, 000.00 contrary to the provisions of Section 6.0 of DBM Budget Circular No. 2010-1, hence, may be disallowed on audit.

   We recommended that the municipality stop the payment of Cash Gift to personnel of other government agency on detail with the LGU and to fully adhere with pertinent provisions of the above cited circulars. Require the concerned official to refund the amount received as cash gift.

6. Disbursements against the 20% Development Fund in the total amount of P4,737,659.75 or 15.82% of the total appropriation of P29,953,736.60 were not related to and/or connected with the implementation of development projects contrary to DILG-DBM Joint Circular No. 2011-1 dated April 13, 2011 and Section 287 of RA No. 7160, hence, full implementation of the programs/projects/activities could not be achieved.

   We recommended that the Local Chief Executive and concerned key officials ensure that the 20% development fund shall be spent solely for its intended purpose. Follow strictly the provision of DILG-DBM Circular No. 2011-1 dated April 13, 2011 to avoid disallowances in audit.

7. The validity and accuracy of the Property, Plant and Equipment (PPE) amounting to P99,879,736.14 cannot be ascertained due to non-submission of the report on the physical inventory thereof contrary to Section 124, Volume I of the MNGAS and Chapter 4 of the Handbook on Property & Supply Management System.

   We recommended that Management undertake a complete periodic physical inventory of municipal properties and immediately reconcile the balances of any affected accounts to reflect the true and accurate balance of the accounts in the financial statements.

5. Status of Suspensions and Disallowances

Suspensions and Disallowances amounting to P25,130,000.00 and P-0- disallowance, respectively, remained unsettled as of December 31, 2015.

Settlement of Suspensions and Disallowances is shown on table below:

	Beginning Balance (As of January 01, 2015)	This Period January 01 – December 31, 2015 (See B Below)		Ending balance (As of December 31, 2015)
		NS/ND/NC	NSSDC	
Notice of Suspension	P25,130,000.00	941,882.30	941,882.30	P25,130,000.00
Notice of Disallowance	0.00	0.00	0.00	0.00
Notice of Charge	0.00	0.00	0.00	0.00
Total	**P25,130,000.00**	**941,882.30**	**941,882.30**	**P25,130,000.00**

We recommended management to settle audit suspensions within the ninety- day period to avoid maturing the suspensions into a disallowance.

Management agreed to settle said audit suspension.

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the seven (7) audit recommendations of last year's report, four (4) were fully implemented, one (1) was partially implemented and two (2) were not implemented as of year-end, hence reiterated in Part II of the report.